IOL Chemicals & Pharmaceuticals (IOLCP)

Horizon: **Swing (1–4 wk)** · Bias tested: **Neutral** · As of **03 Jun 2026**

TACTICAL LONG

CMP	52W H / L	MKT CAP	P/E (TTM) VS SECTOR	ROE / ROCE
₹129.87	₹138.9 / ₹67.2	₹3,799 Cr	26.4× vs ~32×	8.4% / 11.2%

PROMOTER (Δ, PLEDGE)	FII / DII	BETA	ADV	NET DEBT
57.5% (+9.3pp YoY, 0 pledge)	1.7% / 0.02%	~1.1 (approx)	N/A (verify)	Net cash (≈₹1,740 Cr reserves)

PRIMARY CATALYST — THE REASON IT MOVES NOW

Record Q4 FY26 (PAT +69% YoY, EBITDA margin +251bps to 15.2%) plus FY27 guidance of 15–20% revenue growth at 14–15% margins flags a structural earnings inflection after years of stagnation.

CATEGORY	QUANTIFIED IMPACT	PROBABILITY	WINDOW
Financial inflection	FY26 PAT +36% to ₹138 Cr; FY27 EPS could grow ~20–25% if guidance holds	M–H	Q1 FY27 print (~Aug 2026) is the confirm

Priced in? Largely. Stock has ~doubled off ₹67 low and trades ~26× on 8.4% ROE; the recovery is reflected, but a *multi-quarter* margin hold + non-ibuprofen scale-up is NOT yet in the price. · Source: Q4 FY26 result & concall, 20–22 May 2026 (BSE/Business Standard/GuruFocus)

BULL
₹150-155 (+16-19%)
Margins hold >15%, Q1 beats, clean breakout above ₹139 52W high.

BASE
₹128-135 (flat-+4%)
Consolidates near highs awaiting Q1 FY27 confirmation.

BEAR
₹108-112 (-14-16%)
Margin-reversion fear / risk-off; reverts to 50-DMA zone.

> *World's largest ibuprofen maker (~35% global share), debt-free with ₹1,740 Cr reserves, just printed record margins and is being aggressively accumulated by promoters (48.2%→57.5% in a year) — a momentum-plus-conviction setup, but one running into 52W-high resistance at a full valuation versus an 8.4% ROE. The next 4 weeks hinge on whether the margin story survives the Q1 FY27 confirmation.*

CATALYST LADDER — SECONDARY TRIGGERS, RANKED BY IMPACT × PROBABILITY

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Ownership	Sustained promoter accumulation via open-market buys (NCVI Enterprises, Mayadevi Polycot)	Holding 48.2%→57.5% YoY; strong insider-conviction floor under the price	H	Ongoing (latest Mar 2026)	BSE disclosures / shareholding pattern, Mar 2026
Capex	₹200–250 Cr/yr capex (FY26 ₹160 Cr) — Ethyl Acetate, Acetic Anhydride, Triacetin; backward integration	Volume + margin lever from FY27–28; self-funded (no dilution)	H	FY27–FY28	Q4 FY26 concall, 22 May 2026
Product	Non-ibuprofen API diversification — Paracetamol, Metformin, new molecules gaining traction	De-risks the ibuprofen single-product dependence; mix-driven margin support	M	Ongoing	Q4 FY26 concall, 22 May 2026
Demand	Ibuprofen destocking over; demand "stable" for next 4–6 quarters	Removes the volume drag that capped FY22–25 earnings; no clear upside surprise	M	Next 4–6 quarters	Q4 FY26 concall, 22 May 2026

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Financial	Management FY27 guidance: 15–20% revenue growth, 14–15% EBITDA margin	Implies double-digit PAT growth; first credible multi-year guide in years	M	FY27	Q4 FY26 concall, 22 May 2026
Capital action	Dividend continuity	Yield ~0.8% — low impact; signals cash-return discipline	L	Annual (AGM)	Screener / company, FY26

WHAT THE STREET IS PRICING IN

Formal sell-side coverage is **thin** — no broad analyst consensus / target set is publicly tracked (mark N/A); the stock trades largely on momentum + the promoter-buying signal rather than institutional models (FII 1.7%, DII 0.02% — negligible). **IN the price:** the FY26 earnings recovery and the Q4 margin jump (stock ~2× off its low, 26× P/E). **NOT in the price:** proof that 15%+ margins and the non-ibuprofen mix persist beyond 1–2 quarters, or a structural lift in the 8.4% through-cycle ROE — both unproven (5-yr profit CAGR is −20%).

KEY LEVELS & TRADE FRAME

Entry zone	**₹122-128 (pullback into breakout)**
Stop (below recent swing / ~50-DMA, approx)	**₹112**
Target 1 / Target 2	**₹139 / ₹152**
R:R · suggested size	**~1:1 (T1) / ~1:2.1 (T2) · 2-3% capital**

Levels approx — verify on chart; no live DMA feed. Near 52W high (₹138.9) = primary overhead resistance.

RISKS TO WATCH

RISK	TRIGGER	DOWNSIDE	PROB
Margin reversion	Mgmt only confident on 15%+ for "1–2 quarters"; mix/efficiency, not pricing power	−15–20%	M
Valuation de-rating	26× P/E on 8.4% ROE; ~2× run into 52W high leaves little error margin	−20–25%	M
Ibuprofen price / China competition	Commodity API; demand only "stable", no volume growth; pricing pressure	−15%	M
Product concentration	Ibuprofen still dominant; diversification early-stage	−10%	M
Low through-cycle returns	5-yr sales CAGR ~3%, profit CAGR −20%; structural, not cyclical	qualitative	M

CATALYST CALENDAR

DATE	EVENT
~Aug 2026	Q1 FY27 results — margin-sustainability confirm
Jul–Sep 2026	AGM FY26 (dividend / FY27 commentary)
Ongoing	Promoter open-market purchase disclosures (BSE)
FY27	Capex commissioning — Ethyl Acetate / Acetic Anhydride / Triacetin

TACTICAL LONG

Momentum, a debt-free balance sheet, world-leading ibuprofen position and a clear promoter-accumulation floor justify a modest long into pullbacks — but valuation is full and price sits under 52W-high resistance, so keep size light and lean on the stop. **Flips the call:** a Q1 FY27 margin slip back toward 12–13% (management only guided 15%+ as a 1–2 quarter view) — that unwinds the re-rating and turns this into an AVOID.

Sources: BSE/NSE filings & shareholding pattern (Mar 2026); Q4 FY26 result & analyst concall (20–22 May 2026) via Business Standard, GuruFocus/Yahoo Finance, SMEStreet, Indian Pharma Post; Screener.in key-metrics page; Bajaj Finserv / indmoney price & 52W data (02 Jun 2026). Vendor mkt-cap reads spanned ₹3,799–3,858 Cr; lower (NSE-consistent) figure used.